

— EDITION 17

The Anatomy of the 1.8-Second Authorization

When you swipe your card, a 7-step technical dance occurs across 4 entities in under two seconds. Here is where the money actually goes.

A 7-part breakdown

SWIPE >>>>

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Behind the Terminal Screen.

Every card swipe triggers an incredibly complex routing sequence across global financial data channels to securely verify, authorize, and log a transaction in real-time.

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Step 1-2: Merchant Gateway to Acquiring Processor.

The checkout terminal encrypts your card data, sending it to the merchant's gateway, which immediately forwards the payload to the acquiring bank's processing engine.

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Step 3-4: The Card Network Switch to the Issuer.

The acquiring processor routes the transaction across the card network (Visa/Mastercard), which instantly switches the request over to your specific issuing bank's authorization ledger.

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Step 5-6: Risk Engines, OTB Checks, and Authorization.

The issuing bank runs real-time anti-fraud scoring, confirms you have sufficient available balance, logs the authorization hold, and flashes a success message back down the channel.

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| Where the Fees Go: Demystifying the Cut.

The standard processing fee is split: the largest chunk (interchange) goes to the issuing bank, a fixed assessment goes to the card network, and a markup goes to the merchant processor.

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Why This Complex Web is Ripe for Disruption.

This multi-layered legacy architecture was built for manual consumers. Programmatic software agents will heavily favor direct account-to-account (A2A) APIs that cut out intermediate fee-takers.

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Save This: The 7-Step Swipe, Demystified.

Terminal encrypts → gateway → acquiring processor → card network switch → issuer risk engine → balance check → authorization.

The fee split: interchange to the issuer, assessment to the network, markup to the processor. Agents will favor *A2A APIs that cut out the fee-takers*.

— THE TAKEAWAY

Worth **2.5%?**

Comment what surprised you most about the fee split. Repost to share it, and follow for daily agentic payments breakdowns.

◆ Joseph Bankole